Key Areas for the 2026 Final Round Topic

Theme: Beyond Green Labels: Integrating Sustainable Finance and Green Finance into Financial Planning — Financing the Transition, Pricing Climate Risk and Measuring Real Impact

1. Sustainable Finance as a Planning Discipline

- Distinguish **green finance, sustainability-linked finance, transition finance, impact investing and ESG integration**, and place each within the client's plan.
- Profile the client's values, return requirements, liquidity and complexity tolerance; record the resulting mandate in the investment policy statement.
- Quantify the **price of values**, and resolve conflicts between decision-makers with different objectives.

2. Financing the Transition

- Build an emissions baseline (Scope 1, 2 and 3) and a marginal abatement cost curve for the client's business.
- Structure the instrument: green loan, sustainability-linked loan, transition finance, green lease or supply-chain finance, with attention to covenants, verification and subsidies.
- Test bankability, enterprise value, buyer due diligence and the link to succession and the owner's retirement date.

3. Portfolio Integration

- Set and justify the sustainability allocation by instrument, currency, duration and liquidity.
- Weigh the evidence on **greenium, performance, fees and tracking error** rather than repeating marketing claims.
- Measure carbon intensity, taxonomy alignment and data quality, and screen products for greenwashing.

4. Real Assets and Climate Resilience

- Assess green mortgage, retrofit and BEAM Plus certification economics for the client's home and business premises.
- Price physical climate risk into insurance, mortgage and exit decisions.
- Address stranded assets, the timing of downsizing and the landlord–tenant split incentive.

5. Risk, Regulation and Greenwashing

- Map the Hong Kong and international rules that affect the client, from the Hong Kong Taxonomy and ISSB-aligned disclosure to SFC ESG fund rules and the EU's Carbon Border Adjustment Mechanism (CBAM).
- Run a climate scenario and translate it into financial consequences for the business, the property and the portfolio.
- Build anti-greenwashing controls: baselines, verification or assurance, conservative claims and a restatement policy.

6. Measurement, Engagement and Governance

- Design a one-page dashboard covering financial, sustainability, impact and implementation outcomes.
- Separate attribution from narrative, and address the behavioural biases that distort client decisions.
- Set governance, review triggers and a legacy or philanthropic allocation that is funded rather than aspirational.

7. The Ten-Minute Deliverable

- Lead with a recommendation, the capital required and the expected financial and sustainability outcomes.
- Include a quantified structure, a portfolio with weights and costs, a scenario, a dashboard, a trade-off and a refusal.
- Show your assumptions and sources, and defend them under questioning.

Evidence and Assessment

- Cite authoritative sources and distinguish **measured, estimated and illustrative** data.
- Use Hong Kong dollars, state all assumptions, and avoid fabricated or unverifiable statistics.
- **Innovation and independent thinking carry 40 of the 100 marks** in the Final Round.

What Distinguishes a Strong Answer

- A clear recommendation with a number attached to it.
- An honest treatment of trade-offs, data limits and what you would **not** do.
- Evidence that the sustainable finance element changes the client's **financial outcome**, not just the vocabulary.

Reference Points for Research

- **HKMA** — Hong Kong Taxonomy for Sustainable Finance; Sustainable Finance Action Agenda; climate risk guidance (GS-1).
- **HKEX** — climate disclosure requirements under the Listing Rules; Core Climate.
- **SFC** — guidance on ESG fund disclosure; suitability and product due diligence requirements.
- **HKSAR Government** — Climate Action Plan 2050; Green and Sustainable Finance Grant Scheme.
- **HKGBC and EMSD** — BEAM Plus certification; building energy codes and consumption data.
- **ISSB, NGFS and IEA** — IFRS S1 and S2; climate scenarios; energy and technology outlooks.
- **Climate Bonds Initiative, BloombergNEF and MSCI** — issuance data, market pricing and index methodology.

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